



Accounting for JV's & PSC's in Upstream Oil & Gas



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This course is aimed at accounting professionals who wishing to deepen their knowledge of IFRS accounting in the upstream oil and gas sector with a particular emphasis on the issues posed when operating production sharing contracts with joint venture partners.

It considers in detail the accounting practices that have developed in relation to successful efforts methods in the core areas of exploration, development and production and joint venture accounting under national accounting practices such as US GAAP before considering the interpretation and application of relevant IFRS. We will also consider alternative accounting treatments such as full cost capitalisation in so far as permitted by IFRS. Throughout the course we will work with a model PSC to illustrate and investigate the accounting implications and economics.

 LOCATION

Dubai, UAE

Rio de Janeiro, Brazil

London, UK

Kuala Lumpur, Malaysia

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Day 1

Background to Accounting Frameworks for Oil & Gas

- The upstream value chain
- Financial reporting frameworks (IFRS vs. US GAAP)
- Full cost vs. successful efforts

Contracting and partnering arrangements

- Oil and gas contracting arrangements: different types (PSC, risk sharing, tax and royalty), purpose and their impacts upon financial reporting
- Joint operator accounting and key aspects of the joint operating agreement
- Production sharing contracts and key provisions of the agreement
- The accounting procedure within the PSC
- Role of the national petroleum company
- Case study: Identifying the key accounting issues posed by different contractual arrangements and accounting frameworks

The Full Cost Method of Accounting

- Where full cost method is typically used and which accounting models allow it
- Which costs get capitalized?
- Allocation of costs to cost pools
- Calculating depreciation, depletion & amortization
- Impairment and the impairment ceiling test
- Comparison of key differences under US GAAP & IFRS

Case study: Accounting under full cost method

Day 2

Successful Efforts: From Prospecting To Evaluation

- Treatment of acquisition costs
- Accounting for non-drilling costs
- Capitalisation of drilling costs
- Treatment of dry holes
- Impairment of capitalised acquisition costs
- Allocation of costs and assets to cash generating units
- Transfer of assets to drilling & development stage
- Comparison of key differences under US GAAP and IFRS
- Application to accounting procedures under PSC's
- Case study: Accounting for costs, from prospecting to evaluation

Successful Efforts: Drilling & Development

- Well classification
- Treatment of drilling and non-drilling costs
- Accounting for dry holes
- Impairment testing
- Comparison of key differences under US GAAP and IFRS
- Application to accounting procedures under PSC's
- Case study: Initial and subsequent accounting for drilling and non-drilling costs Drilling and Development – Capitalisation of Borrowing Costs
- What needs to be capitalised
- Starting and ceasing capitalisation
- Borrowing rates
- Treatment of interest costs under PSC's

Case study: Estimating borrowing costs for capitalisation

Day 3

Drilling and Development – Decommissioning Costs

- What is the obligation and when are these recognised?
 - Measuring the obligation
 - What is the corresponding asset and how is it recognised and depleted?
 - Subsequent changes to the obligation
 - Treatment of decommissioning costs and rehabilitation funds under PSC's
- Case study: Estimation, initial and subsequent accounting for decommissioning costs
- Accounting Issues during Production
 - Measuring the cost of production
 - Treatment of inventories
 - Allocation of production costs
 - Calculation methods for depreciation, depletion & amortisation
 - Impairment testing
 - Calculation and allocation of costs of production under PSC's

Case study in cost allocation, DD&A and impairment

Joint Arrangement Accounting

- Differentiating joint arrangements from PSCs and other contractual arrangement
- Purpose of joint arrangements
- Responsibilities of the operator
- Typical cost allocation and recovery arrangements
- Cash calling and funding arrangements
- Preparation and accounting for JV billing statements
- Financial reporting issues – forms of joint arrangement (IFRS 11)
- Financial accounting for JV's by the JV investors; application of the equity method (IAS 28)

ACCOUNTING

LEDGER

ASSETS

REVENUE



Day 4

Revenue Recognition, Measurement and Allocation

- Overview of IFRS 15
- Forms of contract and their impact upon revenue
- Measurement of oil and gas revenues
- Accounting for imbalance; differences in permitted treatments
- Treatment of royalties
- Allocation of production and resulting share of revenue under PSC's
- Application of IFRS15 in relation to technical service and similar contracts

Case study: Accounting for revenue imbalances

Leasing

- Overview of general principles for accounting for leases of equipment under IFRS 16
- Identification of a lease
- Separation of lease and non-lease components
- Accounting for the right of use asset
- Accounting for the lease obligation

Case study: Identification and accounting for equipment lease

Production sharing

- Cost recovery methods
- Review and recap of recoverable and non-recoverable costs
- PSC economics
- Tax barrels and tax paid on behalf of
- Comprehensive case study: calculating cost oil, tax oil and profit oil under PSC's



Day 5

Conveyances and business combinations

- Distinguishing acquisitions of assets from acquisitions of businesses
- Pooling and unitisations and adjustment of interests
- Accounting for farm-ins and farm-outs and carried interests

Case study: Accounting for transactions between venturers

Reserves Estimation and Disclosure

- Definitions of reserves and developments
- How reserves are used by analysts
- Use of reserves data for DD&A
- Supplemental Disclosure

Case study: calculating and analysing reserves ratios

Treatment of reserves under PSCs

- Running a reserves estimate for a PSC
- Economics of different assumptions on PSC reserves

Case study: Comprehensive case study examining the impact of different scenarios on PSC reserves





Alan Mayo

Alan is an accounting and finance professional with over thirty years' experience. For the past twenty-two years Alan has specialised in consulting and the delivery of in-house and public training, delivering programmes in financial reporting, financial management and analysis of financial information with a focus on upstream oil and gas. His experience includes delivery and development of in-house training programmes in IFRS for oil and gas for BP, Eni, Kogas, Gazprom, Petronas, Nigerian LNG, Mubadala and Ugandan Revenue Service and has run numerous public courses in the Far East, Middle East, Africa and Europe in financial reporting for oil and gas for a wide range of international and national oil companies and public regulators.

Alan has an enthusiastic presentation style which is able to bring to life technical accounting subjects in a way that is engaging and cuts through the jargon which seems to obscure so much of accounting and finance. He is equally comfortable with and skilled at facilitating small groups and case study work and presenting technical topics to larger audiences.

Alan started his career at PwC, where he worked for twenty years in audit, business advisory, change management and training.

Project Experience

Alan specialises in developing and delivering training in financial reporting and financial management with particular emphasis on oil and gas and public sector and has extensive experience of working on in-house projects and delivering public courses.

Examples of recent in-house training projects include:

Oil and Gas sector

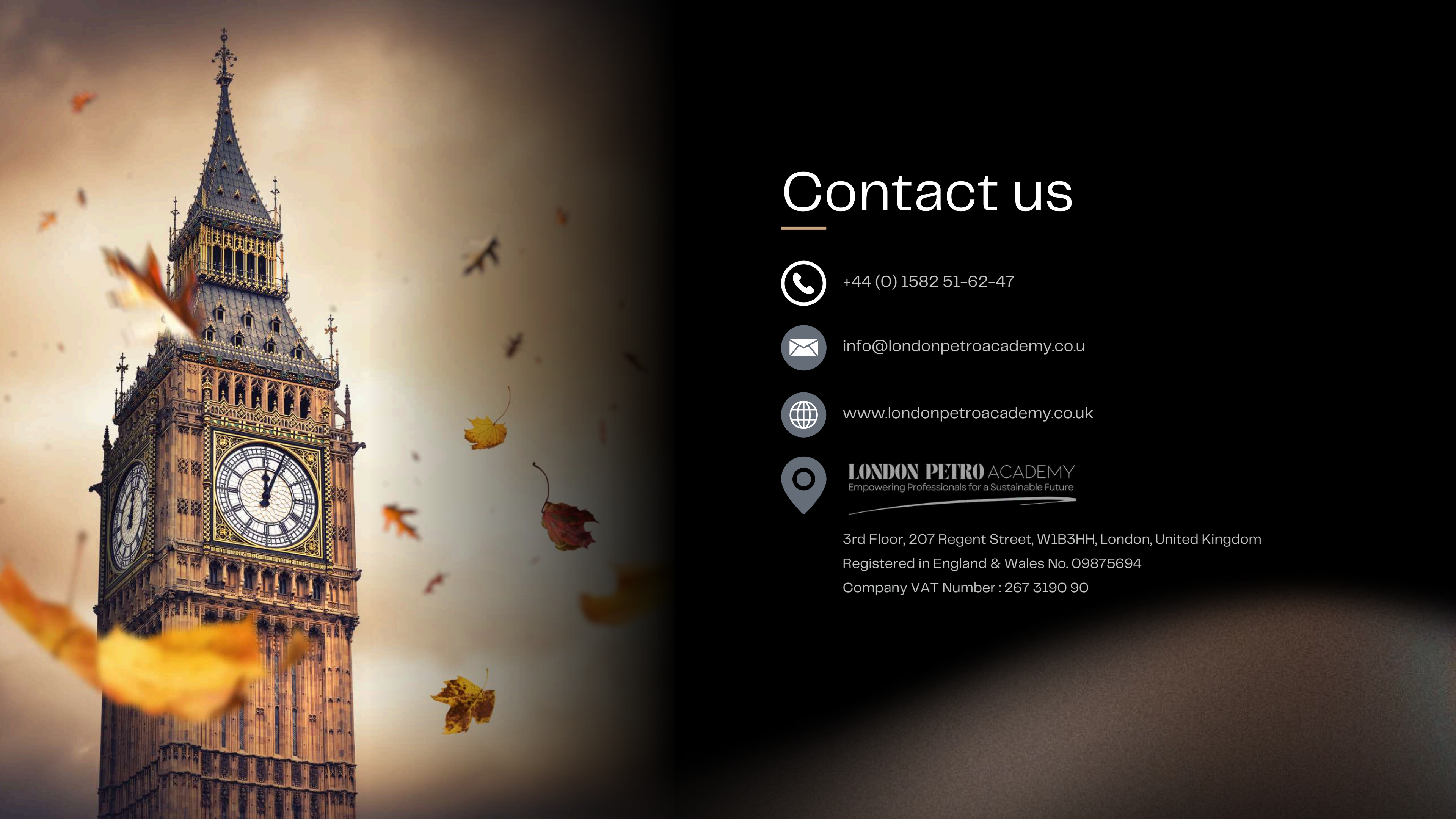
- Working in partnership with experts from BP International produced the detailed design and development of an in-house training programme comprising a 1-day introduction to Production Sharing Agreements and a 2-day masterclass in the accounting and economics of Production Sharing Agreements
- Presents twice yearly a 5-day course on international accounting and financial management for upstream oil and gas to staff of Eni at their corporate university.
- Development and delivery of a 4-day course on international accounting for joint ventures, upstream for KOGAS
- Development and delivery of international accounting for oil and gas – Ugandan Revenue Authority. 5-day programme
- Development and delivery of IFRS for Oil and Gas – Petronas (Vietnam), Mubadala (UAE), FORED (South Korea) (3-4-day courses for accounts staff)
- Development and delivery of open programme, accounting for PSC's
- Development and delivery of IFRS overviews and technical updates – Nigerian Liquefied Natural Gas, Shell
- Designed and delivered tailored course on PSC accounting and economics for the accounting and operations team of Cairn Energy

Qualifications

- BSc (Hons) Economics, Bristol University (1981)
- Institute of Chartered Accountants in England and Wales (1985)

Memberships

- Fellow of the Institute of Chartered Accountants England and Wales (ICAEW)
- Member of ICAEW financial reporting and financial management faculties
- Member of the Institute of Internal Auditors



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